Misrepresentation and Intent

English contract law | Study guide | Present intention, future plans and proof

A statement about tomorrow can convey something about today. When a director says that loan proceeds will fund an expansion, the words may convey that the company currently intends to use the money for that purpose. English law can treat that existing intention as a fact.

1. Prediction | What might happen?

A forecast estimates a future outcome. A forecast that turns out to be wrong does not by itself establish an actionable misrepresentation. In context, the forecast may also imply an existing fact, such as that particular testing has already taken place. Identify precisely what the words conveyed to the recipient.

2. Present intention | What does the speaker plan now?

A statement about a future act can describe a plan held when the statement is made. If a company already intends to spend the money elsewhere, its contrary statement can be false at that moment. A genuine plan may later be abandoned. Subsequent events can be evidence of the earlier intention, but a change after contracting does not by itself establish earlier falsity.

3. Contractual promise | What has the party undertaken to do?

A promise that forms a term creates an obligation. If the promised act is omitted, examine breach and any contractual exception. The same words can both describe an existing plan and form a binding promise. Section 1 of the Misrepresentation Act 1967 provides that becoming a term does not in itself bar rescission where the other conditions are met.

4. Inducement and the remedy

Ask how the statement influenced this recipient’s decision. It can be one of several effective reasons to contract. An actionable misrepresentation generally makes the contract voidable. Rescission and damages have separate conditions. If fraud is alleged, identify evidence of the maker’s dishonest state of mind.

> Legal English | **We expect to expand** expresses an expectation. **We currently intend to expand** describes a present plan. **We undertake to expand** expresses a commitment. Read each phrase in its context.

What the Cases Teach

Edgington v Fitzmaurice (1885) | A false account of the plan

Directors issued a prospectus seeking subscriptions for debentures. It stated that the money would finance improvements and develop the business. Their real aim was to pay pressing debts. The Court of Appeal treated the directors' existing intention as a fact capable of misrepresentation. The investor also held a mistaken belief about the security, but the false account of the intended use of funds still influenced his decision.

Bisset v Wilkinson (1927) | An estimate in its context

A seller estimated that land could carry 2,000 sheep. Both parties knew the land had not been used as a sheep farm. In context, the Privy Council treated the figure as the seller's opinion. Contrast *Smith v Land and House Property Corporation*, where a favourable description of a tenant implied a factual basis known to the landlord, who knew of arrears.

Spice Girls v Aprilia (2002) | Conduct can convey a fact

All five members took part in a promotional shoot before a sponsorship agreement. Their conduct conveyed that the company had no knowledge that a member had declared an intention to leave. In fact, the others already knew of the declared intention. The issue concerned knowledge at the time of the representation.

With v O'Flanagan (1936) | A material change before signature

A doctor's statement about the income of a practice was accurate when made. The income fell substantially before the sale, and the buyer was not told. A statement that still operates during negotiations can become misleading when circumstances materially change. Where it continues to operate at formation, ask whether the maker should have corrected it.

> Evidence | Put the statement, internal minutes, any change of plan, any correction and signature on a timeline. For each date, identify what the maker and the recipient knew.

Worked Problem and Authorities

The expansion loan

Before signing a £200,000 loan, Eastbank reads a letter from the borrower stating that it currently intends to spend the funds on a new production line. The credit committee records that the expansion plan influenced its approval, alongside the interest rate. The agreement contains no term earmarking the funds. The borrower instead uses them to repay existing debts. How would you analyse each timeline below?

Model analysis

Debt repayment agreed before the letter. A dated board resolution allocating all the money to existing debts supports falsity when the letter was sent. The committee minutes support actual inducement. Evidence that the author knew of the resolution supports fraud. Consider rescission and any available damages, each on its own requirements.

Genuine expansion plan abandoned after signature. A post-contract change of plan does not make the letter false when sent. If an express use-of-funds clause were added, spending the money elsewhere could independently raise a breach issue.

What would resolve the dispute? The eventual repayment fits both timelines. Compare the dates of the approved budgets, board minutes and internal messages. A draft that merely discusses repayment has less weight than a resolution already adopted.

> Variation | The plan changes before signature while the borrower knows Eastbank is still relying on the letter. Ask whether the representation continued to operate and required correction, and whether it influenced Eastbank at formation.

Cases and legislation

Edgington v Fitzmaurice (1885) 29 Ch D 459, 483 | Present intention

Bisset v Wilkinson [1927] AC 177 | Opinion in context

Smith v Land and House Property Corporation (1884) 28 Ch D 7 | Implied fact

Spice Girls Ltd v Aprilia World Service BV [2002] EWCA Civ 15 | Representation by conduct

With v O'Flanagan [1936] Ch 575 | Discussed in Foodco v Henry Boot

Misrepresentation Act 1967 ss 1–2 | Rescission and damages